



भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/2026-27/146

DOR.RET.REC.124/12.01.001/2026-27

June 19, 2026

**Reserve Bank of India (Small Finance Banks – Cash Reserve Ratio and
Statutory Liquidity Ratio) Third Amendment Directions, 2026**

Please refer to the [Reserve Bank of India \(Small Finance Banks – Cash Reserve Ratio and Statutory Liquidity Ratio\) Directions, 2025](#) (Updated as on June 8, 2026). On review, it has been decided that fresh Non-Resident (External) Rupee (NRE) term deposits of tenor of three years or more mobilized (including deposits that are renewed upon maturity) by the banks from the date of this Amendment Directions till September 30, 2026 will be exempted from maintenance of CRR and SLR.

2. Accordingly, in exercise of the powers conferred by Section 35A of the Banking Regulation Act, 1949 and pursuant to Section 42 of the Reserve Bank of India Act, 1934 and Sections 18 and 24 of Banking Regulation Act, 1949, as amended from time to time, and all other provisions / laws enabling the Reserve Bank of India in this regard, the Reserve Bank being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Amendment Directions hereinafter specified.

3. These Directions shall be called the Reserve Bank of India (Small Finance Banks – Cash Reserve Ratio and Statutory Liquidity Ratio) Third Amendment Directions, 2026.

4. The provisions shall come into force with immediate effect.

5. These Amendment Directions modify the [Reserve Bank of India \(Small Finance Banks – Cash Reserve Ratio and Statutory Liquidity Ratio\) Directions, 2025](#) as under:

- i. In paragraph 20, the following sub-paragraph shall be inserted “7. *Fresh Non-Resident (External) Rupee (NRE) term deposits of tenor of three years or more*

mobilized (including deposits that are renewed upon maturity) by the banks between June 19, 2026 and September 30, 2026 are exempt from maintenance of CRR from the reporting fortnight beginning July 16, 2026 (i.e., based on the NDTL computation as on June 30, 2026) and subsequent fortnights thereafter. The exemption on reserves maintenance is available for the original deposit amounts till such time the deposits are held in the bank books. Any transfer from Non-Resident (Ordinary) (NRO) accounts to NRE accounts will not qualify for such exemptions”.

- ii. In paragraph 29(5), the words ‘*paragraphs 20 (3), (4), (5) and (6)*’ shall be substituted with ‘*paragraphs 20 (3), (4), (5), (6) and (7)*’.
- iii. In item VIII of the Annex A to Form A,
 - the item VIII.8 shall be renumbered as item VIII.9
 - the words “*NRE Term deposits – 2026 [para 20(7)]*” shall be inserted as item VIII.8.

Yours faithfully,

(Manoranjan Padhy)
Chief General Manager